

My husband always said not to worry about money.... "I'll always be here," he said. Can you help me? What should I do?

This is not a fun situation. How can well-educated, high-income people be so naive about money? Because being a well-educated, high-income earner does not automatically translate into financial independence. It takes planning and sacrificing.

What if your goal is to become financially independent? Your plan should be to sacrifice high consumption today for financial independence tomorrow. Every dollar you earn to spend is first discounted by the tax man. Earning \$100,000 may be required to purchase a \$68,000 boat, for example. Millionaires tend to think this way. That's why only a minority own boats. Do you plan to live on a boat after you retire? Or would you prefer to live on a \$3 million pension plan? Can you do both?

HIGH-STATUS NEIGHBORHOODS

If you read the last section about the IRS's study of the affluent carefully, a question may have come to your mind. Are the results of the surveys we conducted different than those generated from income tax and estate tax returns? You will recall that, on average, the millionaires in our latest survey had a total realized income that was about 6.7 percent of their total net worth. The results from the income tax and estate tax data, however, indicated that top wealth holders realized only 3.66 percent of their wealth. How can this difference be explained? And what does it mean?

We employed a different sampling method than that used by the IRS in its study of income tax and estate tax returns. Our survey was based on sampling households that resided in high-status neighborhoods, whereas the IRS sampled from all income tax and estate tax returns. Since about half of the millionaires in America today do not live in so-called high-status neighborhoods, we also surveyed affluent farmers, auctioneers, and other wealthy people who live in nonstatus neighborhoods. Why do millionaires from high-status areas realize significantly more of their wealth (6.7 percent) than those top wealth holders selected from a national sample of all affluent decedents (3.66 percent)? Because the millionaires from high-status neighborhoods have to realize more income